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What “Scuttlebutt” Can Do

As a general description of what to look for, all this may be helpful. But as a practical guide for finding outstanding investments, it obviously contributes relatively little. Granted that this furnishes a broad outline of the type of investment that should be sought, how does the investor go about finding the specific company which might open the way to major appreciation?

One way that immediately suggests itself is logical but rather impractical. This is to find someone who is sufficiently skilled in the various facets of management to examine each subdivision of a company's organization and by detailed investigation of its executive personnel, its production, its sales organization, its research, and each of its other major functions, form a worthwhile conclusion as to whether the particular company has outstanding potentialities for growth and development.

Such a method may appear sensible. Unfortunately there are several reasons why it usually will not serve the average investor very well. In the first place, there are only a few individuals who have the necessary degree of top management skill to do a job of this kind. Most of them are busy at top-level and high-paying management jobs. They have neither the time nor the inclination to occupy themselves in this way. Furthermore, if they were so inclined, it is doubtful if many of the real growth companies of the nation would allow someone outside their own organization to have all the data necessary to make an informed decision. Some of the knowledge gained in this way would be too valuable to existing or potential competition to permit its being passed on to anyone having no responsibility to the company furnishing the data.

Fortunately, there is another course which the investor can pursue. If properly handled, this method will provide the clues that are needed to find really outstanding investments. For lack of a better term, I shall call this way of proceeding the “scuttlebutt” method.